6.3

Business and the Environment

Cambridge IGCSE Business

- Environmental Impacts
- Why Respond
- How Businesses Respond
- Legal Controls
- Costs of Compliance
- Real Examples

Business and the Environment

Business activity creates environmental damage. Governments, consumers and pressure groups increasingly force businesses to take responsibility for their impact on the natural world.

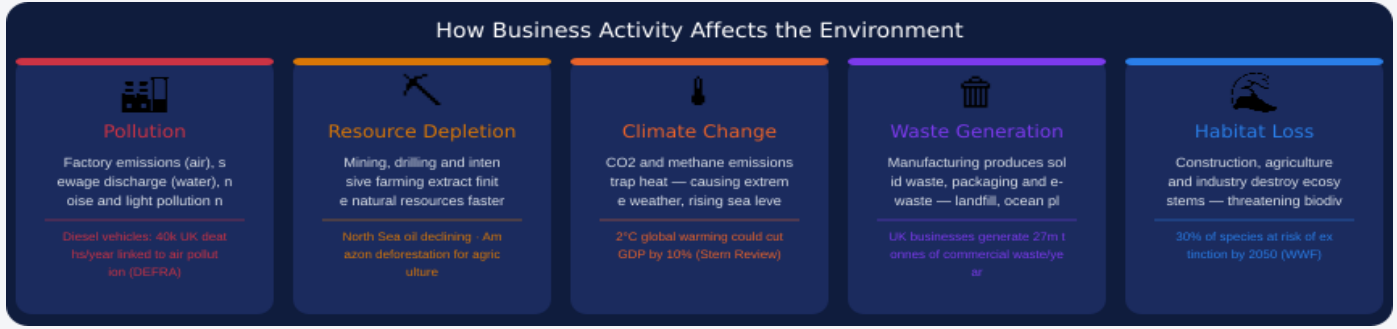
- Explain how business activity negatively affects the environment
- Explain why businesses choose to respond to environmental issues
- Evaluate the effects of legal controls on business activity
- Give real examples of businesses responding to environmental issues

How Business Affects the Environment

Pollution · Resources · Climate · Waste

How Business Activity Negatively Affects the Environment

Business activity generates wealth and employment — but it also creates significant negative consequences for the natural environment. These are often external costs borne by society.



Why businesses historically ignored environmental damage:

- Costs of pollution are borne by society (external costs) — NOT by the business that caused them
- No legal requirement — without regulation, businesses had no incentive to reduce damage
- Competitive pressure — acting environmentally often costs more, putting responsible firms at a disadvantage
- Short-term thinking — environmental damage often shows up decades later, beyond business planning horizons

Exam tip: Environmental damage is an EXTERNAL COST — the business doesn't pay it, but society does. This market failure is why government intervention (laws and taxes) is needed to correct business behaviour.

Why and How Businesses Respond to Environmental Issues

Some businesses respond to environmental issues voluntarily to improve reputation and attract customers. Others respond only when forced to by law. Both motivations matter.

Why businesses choose to respond to environmental issues:

Improved reputation	Consumers increasingly choose ethical brands — good environmental record builds loyalty
Increased sales	Green credentials attract environmentally conscious customers and ESG investors
Cost savings	Reducing energy use and waste cuts operating costs — sustainability often improves efficiency
Avoid legal risk	Proactive compliance avoids fines, prosecutions and expensive retrofitting later
Attract talent	Younger workers prioritise employers with strong environmental values

How businesses respond to environmental issues:

Reduce emissions	Switch to renewable energy, electric vehicles, energy-efficient machinery	*IKEA: 100% renewable energy in all stores by 2025*
Cut waste	Zero-waste manufacturing, recyclable packaging, circular economy models	*Unilever: all plastic packaging recyclable or reusable by 2025*
Sustainable sourcing	Only use suppliers with verified sustainable forestry, fishing or farming	*McDonald's: 100% certified sustainable beef, fish and palm oil*
Carbon offsetting	Plant trees or fund renewable energy projects to compensate for emissions	*British Airways: voluntary carbon offset scheme for flights*

Exam tip: Distinguish voluntary action (businesses choose to act) from legal compliance (they are forced to). The best exam answers show that businesses often act voluntarily because it is PROFITABLE to do so.

Legal Controls on Business Activity Affecting the Environment

Governments use legislation to force businesses to internalise their environmental costs — making the polluter pay rather than allowing costs to be passed on to society.

Types of legal control — what governments can regulate:

HOW to produce

Regulations on emissions, waste disposal, use of toxic chemicals and water usage in manufacturing

UK Clean Air Act limits particulate matter from factories and vehicles

WHAT to produce

Bans on specific products or substances — e.g. single-use plastics, CFCs, leaded petrol

EU ban on single-use plastic cutlery, straws and plates (2021)

WHERE to produce

Planning restrictions prevent building near environmentally sensitive areas

Green belt planning laws prevent industrial development near national parks

WHAT to sell

Product standards — energy labels, fuel efficiency requirements, recycling obligations

UK Energy Performance Certificates (EPCs) for buildings, EU emission standards for cars

Exam tip: Legal controls increase business COSTS (compliance, new equipment, fines). But they also create OPPORTUNITIES — businesses that develop clean technology gain first-mover advantage when regulations tighten.

Key Revision Checklist – 6.3 Business and the Environment

Pollution	Air, water and noise pollution from production. External cost — borne by society, not the polluting business.
Resource depletion	Mining, drilling and intensive farming extract finite resources faster than they can regenerate
Climate change	CO_2 and methane emissions from business activity contribute to global warming and extreme weather events
Why respond voluntarily	Improved reputation, increased sales to green consumers, cost savings from efficiency, attract talented staff
How businesses respond	Reduce emissions (renewable energy), cut waste (recyclable packaging), sustainable sourcing, carbon offsetting
Legal controls	Government regulates HOW, WHAT, WHERE to produce and WHAT to sell. Polluter pays principle.
Effect on costs	Legal compliance increases costs — new equipment, permits, monitoring, fines if non-compliant
Green opportunity	Clean technology leaders gain competitive advantage as regulations tighten globally